

can only be an adviser or a distributor—he cannot be both. Thus, a distributor cannot be seen as recommending a mutual fund scheme. He can only execute the transaction on the client's behalf when asked to. Similarly, an adviser can only advise on which funds to invest; he cannot be a broker for that transaction. This solution from SEBI could eliminate the conflict of interest inherent in mutual fund distribution where the broker or distributor of mutual funds has historically been the investor's main adviser.

Given that in the new regulatory construct an adviser cannot earn anything from the schemes he is recommending, his advice will be for the client's benefit rather than chasing the most remunerative schemes for himself. He earns an advisory fee (which typically varies between 0.1 per cent and 1 per cent of assets advised) directly from the client, which is part of the contract between him and the client. This contract and fee construct now align the investor's interests with that of the adviser. Why? Because the client now invests in direct schemes and the distributor does not get any commission from the product he is recommending. He then naturally advises the investors to buy the funds most suitable for them.

Conclusion: The future is looking brighter for Mr Talwar

The old model of manufacturing and distributing mutual funds is broken at every level in India. Firstly, it is no longer obvious that actively managed large-cap equity mutual funds in India consistently generate outperformance thanks to the greater levels of transparency and competition in the Indian stock market. This has created a large opportunity for passively managed equity mutual funds in India that charge fees which are significantly lower than actively managed equity mutual funds (0.1 per cent vs 2 per cent).

Secondly, thanks to regulatory intervention and technological advances, investors no longer have to rely on the broker or the distributor to provide access to mutual funds; investors can now directly buy mutual funds from the fund manufacturers at the click of a button. Furthermore, since the new construct removes the distributor from the picture, it results in expenses